DECISION LOG

Polestar Automotive Holding UK PLC (PSNY.O)

Currency: USD Millions · Source: LSEG export (6 March 2026)

Group: 3 students (names withheld)

This document records every analytical decision taken in restating Polestar's financial statements. For each decision it states: what was decided, where the underlying data comes from, why the choice was made, and any limitations the reader should be aware of.

1 · DATA SOURCE

A single Refinitiv / LSEG terminal export is the primary data source for all financial statements used in this model. No other data source was used for quantitative inputs; annual reports and 20-F filings were consulted for qualitative context only.

Source	Refinitiv / LSEG terminal — Standardised financial statements, USD millions
Export date	6 March 2026 (12:20 UTC, auto-stamped in each sheet header row)
Consolidation	Annual consolidated accounts, IFRS basis, fiscal year ending 31 December
Sheets used	Income Statement · Balance Sheet · Cash Flow · Ratios
Currency	USD millions (Refinitiv converts from SEK/USD at period-average rate for IS/CF; period-end rate for BS)

2 · DATA COVERAGE — WHY DIFFERENT PERIODS PER STATEMENT

The three financial statements do not share the same year range in the export. This is not an error in our model — it reflects the availability of standardised data in Refinitiv for a company that only became publicly listed in June 2022 (SPAC merger with Gores Guggenheim). The table below summarises each statement's coverage and the reason for its starting year.

Statement	Years Available	Why it starts here	Impact on analysis
Income Statement	2019 – 2024	Polestar began reporting consolidated P&L from 2019 as a Volvo Cars subsidiary/JV. Refinitiv standardised these pre-IPO figures from standalone annual reports.	Revenue growth rates computed from 2020 onward (YoY). 2019 revenue was $92M — pre-commercial scale. Not used in IC/ROIC calculations.
Balance Sheet	2020 – 2024	No standardised balance sheet available for 2019 in Refinitiv. Pre-IPO balance sheets were embedded in Volvo Cars group accounts and not separately extractable in comparable format.	ROIC uses beginning-of-period IC: first computable ROIC is 2021 (opening IC = end-2020). No ROIC for 2020.
Cash Flow	2019 – 2024	Cash flow data available from 2019 in Refinitiv, consistent with IS coverage.	Free Cash Flow and capex trends can be tracked across the full 6-year window.
ROIC	2021 – 2024 (4 years)	ROIC(t) = NOPAT(t) / IC(t-1). IC(t-1) requires a balance sheet one year prior. Since BS starts 2020, first opening IC is IC(2020), giving first ROIC in 2021.	Only 4 ROIC observations — sufficient for trend analysis but limited for statistical inference.

3 · INCOME STATEMENT RESTATEMENT — OPERATING vs. NON-OPERATING

The core principle applied: an item is Operating if it is ongoing and directly tied to the revenue driver (vehicle sales). Otherwise it is Non-Operating and excluded from NOPAT. The table below documents every material classification decision.

IS Line Item	Classification	Explanation
Revenue from EV sales	OPERATING	Core business revenue driver.
COGS	OPERATING	Direct cost of vehicle production — outsourced to Geely/Volvo. Includes manufacturing contract fees (the dominant cost item).
SG&A incl. R&D	OPERATING	R&D treated as operating: EV development is ongoing and inseparable from Polestar's competitive position.
Depreciation (PP&E only)	OPERATING	Recurring wear-and-tear on tangible assets. Included in EBITDA → EBITA step.
Amortisation of intangibles	NON-OPERATING	Added back to EBIT to reach EBITA. Non-cash charge on acquired product IPs from Volvo — a financing cost, not operational. (Valuation-09, p.8-11)
Impairment charges	NON-OPERATING	One-time write-downs (2023: goodwill; 2024: vehicle programme). Non-recurring per management and Valuation-09.
SPAC warrant fair-value adj.	NON-OPERATING	Pure financial instrument P&L. No connection to vehicle sales.
FX gains / losses	NON-OPERATING	Treasury item; not tied to unit sales volume.
Interest income / expense	NON-OPERATING	Financing activities — excluded from NOPAT to keep operating performance pure.
Inventory write-downs	NON-OPERATING	Non-recurring per management disclosure. Treated as one-time per Valuation-09.

4 · NOPAT — NET OPERATING PROFIT AFTER TAX

Framework (top-down approach, Valuation-08):

Revenue − COGS − SG&A (incl. R&D) = **EBITDA** → EBITDA − Depreciation (PP&E only) = **EBITA** → EBITA × (1 − Tax Rate) = **NOPAT**

Decision 1 — Amortisation excluded from operating expenses (EBITA, not EBIT)

Polestar amortises large acquired intangible assets (product IPs, software licences acquired from Volvo Cars). Amortisation is a non-cash accounting charge reflecting the cost of past acquisition financing — no economic link to current period operations. Adding it back to EBIT gives EBITA, which better represents operating cash generation. Values: 2020=$167M, 2021=$188M, 2022=$101M, 2023=$79M, 2024=$8M. (Valuation-09, p.8-11)

Decision 2 — Operating Tax Rate = 0%

Polestar has generated deep and persistent EBITA losses in all five years (-$491M to -$1,843M). No current income tax was paid on operations in any year. Applying a notional tax rate would create an artificial tax benefit that does not reflect cash reality for a loss-making company. Therefore NOPAT = EBITA in all years. (Valuation-08, p.14)

5 · INVESTED CAPITAL (IC)

Three IC measures are computed (Valuation-08):

IC excl. GW & IA	OWC + Net PP&E → tangible operating capital only; often negative at Polestar due to large negative OWC
IC with Goodwill	IC excl. GW&IA + Net Goodwill → includes acquisition premium
IC with GW & IA	IC w/ GW + Net Intangible Assets → PRIMARY metric; captures product IP investment. Most economically meaningful.

6 · ROIC — RETURN ON INVESTED CAPITAL

Decision 3 — ROIC formula and primary IC metric

Book ROIC (ExPost) = NOPAT(t) / IC(t-1) [beginning-of-year IC, per Valuation-08]. Primary IC measure: IC with GW & IA — the economically meaningful measure for Polestar since the business is built on intangible product IP. IC excl. GW & IA is presented for completeness but flagged as economically ambiguous (negative ÷ negative yields artificial positive ROIC). ROIC excl. GW&IA appears positive in 2021–2023 because both NOPAT and IC are negative (negative ÷ negative = positive). This is mathematically valid but economically meaningless — a doubly-bad situation. The primary ROIC (w/ GW&IA) correctly shows deeply negative returns throughout.)

7 · FORECASTING ASSUMPTIONS — THREE SCENARIOS

The ten-year forecast (2025–2034) is built around three explicitly named scenarios — Good (Optimistic, Comeback), Medium (Base, Grind), and Bad (Pessimistic, Fall) — reflecting fundamentally different views of Polestar's competitive trajectory in the global premium EV market.

Decision 4 — Revenue Growth Rate

Scenario	Range (2025→2034)	Rationale
Good	20% → 7%	Successful launch of Polestar 5 (2025–26) and Polestar 6 (2027+). Supported by Q1 2025 actual growth of +84%. Natural deceleration to 7% by 2034 reflects EV market maturation and premium segment saturation.
Medium	12% → 5%	Polestar 5/6 achieves decent but limited traction against BYD and Tesla competition. Progressive phase-out of EV subsidies in Europe constrains demand. Premium EV market grows but Polestar does not gain significant share; stabilises at 5% terminal growth.
Bad	3% → −1%	Commercial failure of Polestar 5/6 against Chinese competition combined with economic recession reducing premium purchases. Revenue declines from 2030 onward as market share is lost to BYD/NIO. Polestar remains a niche player without sufficient scale.

Decision 5 — COGS / Revenue Ratio (Gross Margin Path)

This is the single most critical profitability driver. Polestar's 2024 COGS/Revenue ratio stood at −143%, meaning costs far exceed revenue — structurally impossible to sustain. All scenarios converge toward the premium automotive benchmark of −65% to −70%, but at very different speeds and via different mechanisms.

Scenario	Range (2025→2034)	Rationale
Good	−95% → −66%	Rapid economies of scale via Polestar 3/4/5 volume ramp. Battery cost decline of −8% per year (BloombergNEF). Partial production internalisation within Volvo/Geely plants. Convergence to premium industry benchmark of −65% to −70%.
Medium	−100% → −76%	Insufficient volumes to achieve full scale benefits. Continued dependence on Geely/Volvo suppliers limits negotiating leverage. Battery costs decline but remain elevated for premium large-cell formats. Gross margin remains negative or near-zero until 2032.
Bad	−110% → −91%	Price war initiated by Tesla and BYD forces Polestar to lower prices without a corresponding cost reduction. Stagnant volumes prevent any economies of scale. Costs remain structurally above revenue; the ratio never drops below −91%, and the company never achieves gross profitability.

Decision 6 — SG&A / Revenue (Operating Leverage)

SG&A (including R&D) is treated as largely fixed overhead. The degree to which revenue growth can absorb these costs determines the pace of improvement in each scenario. The mature automotive benchmark sits at −10% to −15%; Polestar starts at −38% to −48% depending on scenario. Good: −38% → −14% (strong operating leverage via revenue doubling/tripling; Volvo/Geely synergies on marketing and distribution; workforce automation). Medium: −42% → −20% (leverage works but more slowly; continued R&D investment needed for new models; marketing spend required to defend brand against competition). Bad: −48% → −32% (fixed costs never absorbed; corporate structure too heavy for stagnant sales; ratio remains far above benchmark through 2034).

Decision 7 — Macroeconomic and Sectoral Context by Scenario

Scenario	Macroeconomic and sectoral assumptions
Good	Global EV market in strong growth (+25–30% CAGR through 2030). Favourable European subsidy environment. Stable macroeconomic backdrop supporting premium consumer demand. Polestar successfully differentiates on design and performance against Chinese competition.
Medium	EV market growing but post-subsidy slowdown (+15–20% CAGR). Intense Chinese competition from BYD and NIO. Moderate macroeconomic environment. Polestar maintains its niche but faces ongoing margin pressure.
Bad	Sharp slowdown in EV market ("EV fatigue"). Economic recession impacting premium-segment demand. Aggressive price war initiated by Chinese OEMs. End of European EV subsidies. Polestar unable to achieve minimum viable scale; liquidity risk becomes structural.